EQUITY RESEARCH QUICK TAKE

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ServiceNow, Inc.

Investor feedback and additional thoughts following NOW's negative earnings reaction

NYSE: NOW | USD 109.67 | Outperform | Price Target USD 165.00

Sentiment: Neutral

With shares of NOW down 27% following a **disappointing Q3/26 earnings print vs expectations**, we wanted to recap investor feedback and provide our thoughts. We'd also highlight that our management call back notes from last night's earnings are on page 2 of our recap note highlighted above. **From here we look forward to hosting NOW mgmt at our Nov 17-18 tech conference.**

Post the Q3/26 NOW print, investor feedback has been decidedly cautious. Despite the company beating guidance across the board, the smaller Q3 beat and the Q4 cRPO guide of 18.5% (vs. buyside expectations closer to 19.5-20%) were the primary sticking points. Additionally, investors are skeptical that management's bullish AI commentary (AI ACV target raised to $1.7B from $1.5B q/q and 13x y/y consumption growth, etc.) will translate into visible top-line acceleration anytime soon, with some investors believing the stock could be in the penalty box for multiple quarters.

Ultimately investors want to see a path to acceleration, especially in light of the $32B upside subscription revenue target in 2030, which calls for a 20% CAGR. Until that path becomes more visible, some investors we spoke with will likely remain on the sidelines as they await more tangible data points on AI monetization benefiting the P&L. As we look to Q4/26, areas for upside likely include AI, particularly in Control Tower, CRM and cybersecurity along with the potential for a December budget flush.

Several investor conversations probed for macro commentary, as management characterized the environment as "complex" and emphasizes enterprise AI moving into a "rules and rails" phase. Some interpret that as a signal that large and transformational AI deals are just slow to close/go live. We believe the company's focus on forward deployment (next paragraph) could imply that complex AI deals have been slower to close and that their focus is to help accelerate the process. That said, management noted no real impact of pushed deals during Q3. Overall we believe macros are generally stable, but many will wait to see if a Q4 budget flush becomes more evident.

On the forward deployment expertise/FDE investment, which shifted ~25bps of subscription revenue into professional services in Q3 and 50bps in Q4, some investors believe it could take a few qtrs to build the deployment muscle needed to compress time-to-value, though some view this as a temporary headwind that will ultimately benefit when it reverses structurally on renewal (which could be 2 years from now). Positively though, many investors also believe it's only a matter of time until agents can help with forward deployment, and thus less PS business, but that too is likely a 2027 focus.

We triangulated to ~18% subscription revenue growth for FY/27 (a ~3pt deceleration from this year's ~21% cc), which we believe is being viewed as the new baseline. While management confirmed this is a reasonable framework that could prove conservative, the stock is likely a show-me story.

On valuation, at ~14.5x CY/28E FCF on our estimates, we see limited downside, and objectively the stock seems quite discounted to us as a high-teens grower with 30%+ FCF margins. However, as we said previously, new buyers will need incremental P&L data points/acceleration to back up positive management commentary. The bull case centers on the "Control Tower" thesis, where ServiceNow's governance layer for enterprise AI, including agent discovery, passporting, and the kill switch, positions it as the de facto orchestration standard, along with CRM and security.

Bottom line - we still think ServiceNow is in a good position to monetize AI and accelerate growth, but shares are likely range-bound in the ST until growth improves, which we think could happen in the December qtr and a potential 4Q budget flush.

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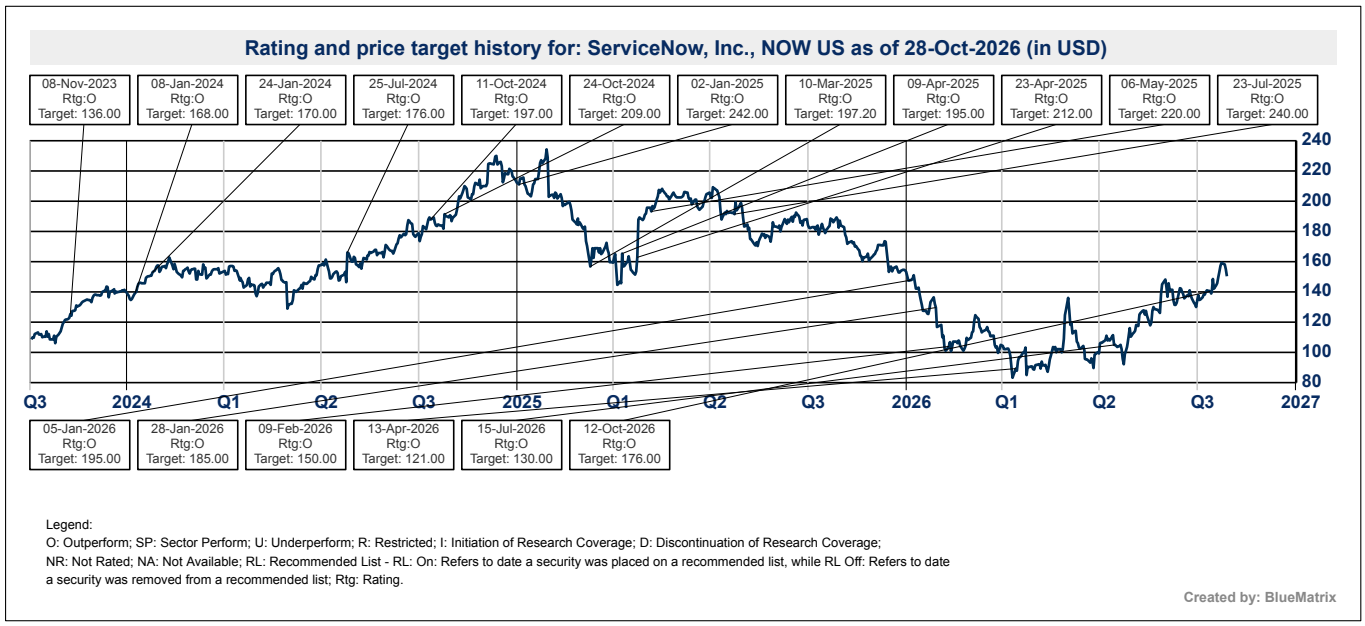
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ServiceNow, Inc.

Valuation

Our price target of $165 assumes that shares trade at 9.5x our CY/27E EV/revenue, a slight premium to our high efficiency comp group average given the leading growth and margin profile. On FCF, this implies a 26x EV/FCF multiple on our CY/27 estimates. Our price target supports our Outperform rating.

Risks to rating and price target

- The economic environment could become more volatile.
- Scaling the business to $15B+ will likely include new challenges.
- Not being able to hire as quickly as needed or the loss of key employees.

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